

D101

Cost and Managerial Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A bicycle maker expects to sell 10,000 units in the second quarter and 12,000 in the third, at \$35 each. It wants ending finished goods equal to 20% of next quarter's sales and starts the second quarter with 2,000 units on hand. How many units should it produce in the second quarter?

- A. 9,600
- B. \$364,000
- C. 10,400
- D. 12,400

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A kitchen-tools company sells a blender for \$60 with variable cost of \$36 per unit. Fixed costs are \$120,000 a year, and management wants \$48,000 of operating profit. The blender won a design award last year. How many units must it sell?

- A. 7,000
- B. 5,000
- C. 4,667
- D. 2,800

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A product has fixed costs of \$90,000 and variable cost of \$15 per unit. Selling 4,000 units earns a profit of \$30,000. What is the selling price?

- A. \$45
- B. \$37.50
- C. \$15
- D. \$30

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A custom cabinet shop estimated \$600,000 of overhead and 40,000 direct labor hours for the year and applies overhead on labor hours. Job 47 used \$2,500 of materials, \$3,000 of direct labor and 120 labor hours. The job also used 80 machine hours on the shop's new CNC router. What is the total cost of Job 47?

- A. \$6,700
- B. \$7,300
- C. \$5,500
- D. \$1,800

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

Using the same \$15-per-labor-hour rate, the shop worked 42,000 labor hours and incurred \$610,000 of actual overhead. What is the overhead variance at year-end?

- A. \$20,000 underapplied
- B. \$30,000 overapplied
- C. \$20,000 overapplied
- D. \$10,000 underapplied

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

In June a paint mixing department completed and transferred out 8,000 gallons. Ending work in process was 2,000 gallons, 40% complete for conversion; all materials are added at the start. The department passed a safety audit in June. Under the weighted-average method, what are the equivalent units for conversion costs?

- A. 8,800
- B. 10,000
- C. 8,000
- D. 9,200

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Under the weighted-average method a department reports 9,500 equivalent units for conversion. It completed 8,000 units and has 2,500 units in ending work in process. How complete is ending WIP for conversion?

- A.** 26%
- B.** 60%
- C.** 84%
- D.** 40%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A plant's setup cost pool is \$90,000 and the plant runs 300 setups a year. Product Z, sold mainly to hospitals, needs 120 setups for its 1,000 units; the plant makes 10,000 units in total. Product Z's sales manager is new this year. Under activity-based costing, how much setup cost is assigned to each unit of Z?

- A.** \$120
- B.** \$9
- C.** \$300
- D.** \$36

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A candy maker's standard for sugar is \$4.00 per pound, and the standard quantity for actual output is 10,000 pounds. It bought and used 10,500 pounds at \$4.20 per pound from a new supplier in Brazil. What is the materials price variance?

- A.** \$4,100 unfavorable
- B.** \$2,100 favorable
- C.** \$2,100 unfavorable
- D.** \$2,000 unfavorable

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A materials quantity variance is \$1,200 favorable. The standard price is \$6 per pound and the standard quantity allowed is 5,000 pounds. How many pounds were actually used?

- A.** 5,200
- B.** 4,800
- C.** It cannot be found without the actual price paid.
- D.** 3,800

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A furniture plant with idle capacity normally sells a chair for \$50. Its unit cost is \$40: \$28 variable and \$12 of allocated fixed overhead. A hotel chain with 45 locations offers to buy 2,000 chairs at \$34 each; no added fixed costs are needed. What is the effect on operating income if the plant accepts?

- A.** Reject — never sell below the regular price.
- B.** Decrease of \$32,000
- C.** Decrease of \$12,000
- D.** Increase of \$12,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A toy company produced 10,000 units and sold 8,000 this year, its first year of operation. Fixed manufacturing overhead was \$150,000, and the company spent \$40,000 on a trade show. How does operating income under absorption costing compare with variable costing?

- A.** Absorption income is \$150,000 higher.
- B.** Variable-costing income is \$30,000 higher.
- C.** They are the same, because total costs are the same.
- D.** Absorption income is \$30,000 higher.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A bicycle maker expects to sell 10,000 units in the second quarter and 12,000 in the third, ~~at \$35 each~~. It wants ending finished goods equal to 20% of next quarter's sales and starts the second quarter with 2,000 units on hand. How many units should it produce in the second quarter?

Target word: units to produce **Decides:** $10,000 + (20\% \times 12,000) - 2,000$.

A	Inverted operation	Adds beginning and subtracts ending inventory — reversed.
B	Camouflage	Multiplies by the \$35 price; the budget asks for units.
C	Correct	$10,000 + 2,400 - 2,000 = 10,400$.
D	Dropped element	Leaves out the 2,000 units already on hand.

2. Answer A Concept 2

A kitchen-tools company sells a blender for \$60 with variable cost of \$36 per unit. Fixed costs are \$120,000 a year, and management wants \$48,000 of operating profit. ~~The blender won a design award last year.~~ How many units must it sell?

Target word: units for target profit **Decides:** $CM = \$24$; $(\$120,000 + \$48,000) \div \$24$.

A	Correct	$\$168,000 \div \$24 = 7,000$.
B	Dropped element	Break-even only: $\$120,000 \div \24 , with no profit target.
C	Inverted operation	Divides by the \$36 variable cost instead of the \$24 margin.
D	Confusion set	Divides by the \$60 price instead of contribution margin.

3. Answer A Concept 2 · transfer

A product has fixed costs of \$90,000 and variable cost of \$15 per unit. Selling 4,000 units earns a profit of \$30,000. What is the selling price?

Target word: solve for price **Decides:** $CM \text{ per unit} = (\$90,000 + \$30,000) \div 4,000 = \$30$.

A	Correct	$CM \$30 + \text{variable cost } \$15 = \$45$.
B	Adjacent category	$\$90,000 \div 4,000 + \15 — the break-even price, leaving out the profit.
C	Inverted operation	Subtracts variable cost from contribution margin.
D	Dropped element	That is the contribution margin, not the price.

4. Answer B Concept 3

A custom cabinet shop estimated \$600,000 of overhead and 40,000 direct labor hours for the year and applies overhead on labor hours. Job 47 used \$2,500 of materials, \$3,000 of direct labor and 120 labor hours. ~~The job also used 80 machine hours on the shop's new CNC router.~~ What is the total cost of Job 47?

Target word: job cost **Decides:** $\text{Rate} = \$15 \text{ per labor hour} \times 120 \text{ hours} = \$1,800 \text{ overhead}$.

A	Camouflage	Applies the rate to the 80 machine hours; overhead is applied on labor hours.
B	Correct	$\$2,500 + \$3,000 + \$1,800 = \$7,300$.
C	Dropped element	Leaves out overhead.
D	Adjacent category	That is the overhead applied, not the total job cost.

5. Answer C Concept 3 • transfer

Using the same \$15-per-labor-hour rate, the shop worked 42,000 labor hours and incurred \$610,000 of actual overhead. What is the overhead variance at year-end?

Target word: over- or underapplied overhead **Decides:** Applied = 42,000 × \$15 = \$630,000 vs. actual \$610,000.

A	Inverted operation	Applied above actual is overapplied.
B	Adjacent category	Compares applied with the estimate, not with actual overhead.
C	Correct	Applied \$630,000 exceeds actual \$610,000.
D	Wrong stem number	Compares actual with the \$600,000 estimate instead of applied overhead.

6. Answer A Concept 4

In June a paint mixing department completed and transferred out 8,000 gallons. Ending work in process was 2,000 gallons, 40% complete for conversion; all materials are added at the start. ~~The department passed a safety audit in June.~~ Under the weighted-average method, what are the equivalent units for conversion costs?

Target word: conversion equivalent units **Decides:** 8,000 + 2,000 × 40%.

A	Correct	8,000 + 800 = 8,800.
B	Confusion set	That is the materials figure, since materials are 100% added at the start.
C	Dropped element	Leaves out partly finished ending WIP.
D	Inverted operation	Uses the 60% remaining instead of 40% complete.

7. Answer B Concept 4 • transfer

Under the weighted-average method a department reports 9,500 equivalent units for conversion. It completed 8,000 units and has 2,500 units in ending work in process. How complete is ending WIP for conversion?

Target word: solve for percent complete **Decides:** (9,500 – 8,000) ÷ 2,500.

A	Wrong stem number	Divides 2,500 by 9,500, mixing the figures.
B	Correct	1,500 / 2,500 = 60%.
C	Confusion set	Divides 8,000 by 9,500 — completed share, not WIP's stage.
D	Inverted operation	That is the percent still to be done.

8. Answer D Concept 5

A plant's setup cost pool is \$90,000 and the plant runs 300 setups a year. Product Z, ~~sold mainly to hospitals,~~ needs 120 setups for its 1,000 units; the plant makes 10,000 units in total. ~~Product Z's sales manager is new this year.~~ Under activity-based costing, how much setup cost is assigned to each unit of Z?

Target word: ABC setup cost per unit **Decides:** \$300 per setup × 120 setups ÷ 1,000 units.

A	Wrong stem number	The setup count read as dollars.
B	Adjacent category	Volume-based: \$90,000 / 10,000 units — the traditional allocation that undercosts Z.
C	Dropped element	The rate per setup, not the cost per unit.
D	Correct	\$90,000 / 300 = \$300; \$300 × 120 = \$36,000; / 1,000 = \$36.

9. Answer C Concept 6

A candy maker's standard for sugar is \$4.00 per pound, and the standard quantity for actual output is 10,000 pounds. It bought and used 10,500 pounds at \$4.20 per pound ~~from a new supplier in Brazil~~. What is the materials price variance?

Target word: price variance **Decides:** $(\$4.20 - \$4.00) \times 10,500$ actual pounds.

A	Adjacent category	Total materials variance, not the price variance.
B	Inverted operation	Paying above standard is unfavorable.
C	Correct	$\$0.20 \times 10,500 = \$2,100$; paying more than standard is unfavorable.
D	Confusion set	That is the quantity variance: 500 extra pounds $\times$ \$4.00.

10. Answer B Concept 6 · transfer

A materials quantity variance is \$1,200 favorable. The standard price is \$6 per pound and the standard quantity allowed is 5,000 pounds. How many pounds were actually used?

Target word: solve for actual quantity **Decides:** $\$1,200 \div \$6 = 200$ pounds under standard.

A	Inverted operation	Adds the 200 pounds; that would be unfavorable.
B	Correct	Favorable means fewer pounds used: $5,000 - 200 = 4,800$.
C	Confusion set	The quantity variance uses the standard price, so actual price is not needed.
D	Wrong stem number	Subtracts \$1,200 as if it were pounds.

11. Answer D Concept 7

A furniture plant with idle capacity normally sells a chair for \$50. Its unit cost is \$40: \$28 variable and \$12 of allocated fixed overhead. A hotel chain ~~with 45 locations~~ offers to buy 2,000 chairs at \$34 each; no added fixed costs are needed. What is the effect on operating income if the plant accepts?

Target word: differential income **Decides:** Only variable cost changes: $(\$34 - \$28) \times 2,000$.

A	Absolute language	With idle capacity, any price above incremental cost adds profit.
B	Wrong stem number	Compares with the \$50 regular price instead of cost.
C	Adjacent category	Uses full cost (\$40), counting fixed overhead that does not change.
D	Correct	$\$6 \times 2,000 = \$12,000$; fixed overhead is unchanged.

12. Answer D Concept 8

A toy company produced 10,000 units and sold 8,000 this year, its first year of operation. Fixed manufacturing overhead was \$150,000, ~~and the company spent \$40,000 on a trade show~~. How does operating income under absorption costing compare with variable costing?

Target word: difference between methods **Decides:** Inventory grew $2,000 \text{ units} \times \15 fixed overhead per unit.

A	Wrong stem number	Only the fixed overhead in ending inventory is deferred, not the whole amount.
B	Inverted operation	When production exceeds sales, absorption income is higher.
C	Dropped element	Ignores the fixed overhead carried in inventory under absorption costing.
D	Correct	$\$150,000 / 10,000 = \15 ; $2,000 \text{ units} \times \15 is deferred in inventory.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	7	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	1	
Confusion set	Every option is real; the test is exact role-matching.	5	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Production budget	Units to produce = budgeted sales + desired ending finished goods – beginning finished goods.	Adding beginning inventory or leaving an inventory term out.	Sales forecast plus beginning and target ending inventory.
2	CVP with a target profit	Units needed = (fixed costs + target profit) ÷ contribution margin per unit.	Dividing by price, or stopping at break-even.	A desired profit figure alongside price, variable cost and fixed cost.
3	Job costing and overhead application	Predetermined overhead rate = estimated overhead ÷ estimated driver; applied overhead = rate × actual driver used. Applied above actual overhead is overapplied.	Using actual totals to set the rate, or flipping over- and underapplied.	Estimated overhead and driver at the start of the year, actual figures later.
4	Equivalent units in process costing	Weighted-average equivalent units = units completed + ending WIP units × percent complete for that cost.	Using the percent remaining, or applying the conversion percent to materials added at the start.	Ending work in process with a percent complete.
5	Activity-based costing	Assign overhead by activity rates (cost pool ÷ activity driver); low-volume, complex products tend to be undercosted by volume-based allocation.	Spreading a setup or batch cost evenly by units produced.	A cost pool with a driver like setups, orders or inspections.
6	Standard cost variances	Price variance = (actual price – standard price) × actual quantity; quantity variance = (actual quantity – standard quantity allowed) × standard price. Positive = unfavorable for costs.	Using standard quantity in the price variance or actual price in the quantity variance.	Standard and actual price and quantity for materials or labor.
7	Differential analysis: special orders	With idle capacity, accept a special order if its price exceeds the incremental (variable plus any added fixed) cost; allocated fixed costs that do not change are irrelevant.	Rejecting an order priced below full absorption cost or the regular price.	One-time order, idle capacity, and a unit cost that includes allocated fixed overhead.
8	Absorption vs. variable costing income	When production exceeds sales, absorption income is higher by fixed overhead per unit × increase in inventory; when sales exceed production, it is lower.	Believing the two methods always report the same income, or reversing the direction.	Units produced and units sold differ, with fixed manufacturing overhead given.

Course scope (public description): Cost and Managerial Accounting focuses on the concepts and procedures needed to identify, collect, and interpret accounting data for management control and decision-making. Topics covered include budgeting, cost-volume-profit analysis, job costing, process costing, activity-based costing, standard costing, and differential analysis. Prerequisites include Principles of Accounting and Financial Accounting.